
Master Service Agreement

between

GlobalTrade Logistics Inc.

and

Atlas Freight Co.

Agreement No. AF-MSA-2024-031

Effective Date: March 1, 2024

SAMPLE — synthetic training document, not legal advice

Generated for the Zero-to-Hero LangGraph training. All parties, figures,
addresses and terms are fictitious.

1. Parties

This Master Service Agreement (the "Agreement") is entered into as of March 1, 2024 (the "Effective Date") by and between **GlobalTrade Logistics Inc.**, a Delaware corporation with its principal place of business at 400 Harborview Plaza, Suite 1200, Wilmington, Delaware, USA ("GlobalTrade", the "Shipper"), and **Atlas Freight Co.**, an Illinois corporation, with its principal place of business at 880 Lakeshore Industrial Park, Chicago, Illinois, USA ("Atlas", the "Carrier"). GlobalTrade and Atlas are each a "Party" and together the "Parties". This Agreement supersedes all prior agreements, proposals, term sheets, and letters of intent between the Parties relating to its subject matter.

2. Definitions

For the purposes of this Agreement, the following capitalized terms have the meanings set out below. Other capitalized terms are defined where they first appear.

1. **"Business Day"** means any day other than a Saturday, Sunday, or public holiday in the jurisdiction of the delivery destination.
2. **"Scheduled Delivery Date"** means for each shipment, the delivery date promised at tender: six (6) days after tender for Standard Class shipments and four (4) days after tender for Second Class shipments where tendered under Schedule B.
3. **"Late Delivery"** means any shipment delivered after its Scheduled Delivery Date; financial penalties under Section 6 attach only where the delay exceeds forty-eight (48) hours.
4. **"On-Time Delivery Rate"** means, for any calendar month, the number of shipments delivered on or before their Scheduled Delivery Date divided by the total number of shipments tendered in that period, expressed as a percentage and rounded to one decimal place.
5. **"Shipment Value"** means the invoiced sales value of the goods contained in a shipment, exclusive of freight charges, duties, and taxes; used for cargo claims, not for penalty calculation, which under this Agreement is flat-fee based.
6. **"Service Levels"** means the performance commitments set out in Section 5 of this Agreement.
7. **"Confidential Information"** means all non-public business, technical, pricing, volume, and operational information disclosed by one Party to the other, whether marked confidential or not, that a reasonable person would understand to be confidential.
8. **"Late Shipment"** means a shipment whose delay beyond the Scheduled Delivery Date exceeds forty-eight (48) hours.
9. **"Consolidation Center"** means a GlobalTrade facility listed in Schedule D from which Atlas operates scheduled departures.

3. Scope of Services

Atlas shall provide surface and ocean transportation services for GlobalTrade's **Standard Class** shipping lanes, comprising full-truckload and less-than-truckload ground linehaul across North America and intercontinental ocean freight consolidation (LCL and FCL) on trans-Atlantic and trans-Pacific trade lanes, together with drayage, container management, and weekly departure schedules from GlobalTrade's consolidation centers. Standard Class shipments carry a Scheduled Delivery Date of six (6) days from tender. Atlas is GlobalTrade's primary carrier for cost-optimized Standard lanes; GlobalTrade may tender Second Class shipments to Atlas at the rates in Schedule B where capacity allows. Atlas shall provide electronic status updates at pickup, port arrival/departure, customs clearance, and delivery.

4. Term

This Agreement commences on the Effective Date and continues for an initial term of five (5) years (the "Initial Term"). Upon expiry of the Initial Term, this Agreement automatically renews for successive two (2)-year renewal periods (each a "Renewal Term") unless either Party gives written notice of non-renewal at least one hundred twenty (120) days before the end of the then-current term. Rates and Service Levels remain fixed during the Initial Term; thereafter, either Party may request one rate review per Renewal Term, provided that any adjustment exceeding 3% per annum requires mutual written agreement supported by a documented cost index. Sections 2, 6 (with respect to accrued penalties and credits), 8, 11, and the confidentiality obligations survive expiry or termination of this Agreement for a period of three (3) years.

5. Service Levels

5.1 Service Level Framework

Atlas's performance is measured against the commitments in this Section 5 on a calendar-month basis across all Standard Class lanes in aggregate, using the delivery timestamps recorded in Atlas's transport management system and reconciled to GlobalTrade's tender records.

5.2 On-Time Delivery Commitment

Atlas commits to an On-Time Delivery Rate of at least **92.5%** of all shipments tendered in each calendar month. The Parties acknowledge that Standard Class is a cost-optimized, non-express product and that the schedule already incorporates normal variability in ground and ocean transit; the commitment in this Section 5.2 is calibrated accordingly. Shipments affected by Force Majeure Events and shipments delayed solely by customs holds not attributable to Atlas documentation errors are excluded from measurement.

5.3 Measurement & Reporting

Atlas shall deliver a monthly scorecard by the seventh (7th) calendar day of the following month showing, per lane: shipments tendered, shipments delivered on time, the On-Time Delivery Rate, every Late Delivery with delay duration in hours, and accrued penalties under Section 6. GlobalTrade may dispute entries within fifteen (15) calendar days. Atlas shall additionally attend a quarterly business review covering capacity, performance trends, and corrective actions.

6. Late Delivery Penalties

6.1 Flat-Fee Penalty Structure

The Parties agree on a flat-fee penalty structure reflecting the lower unit economics of Standard Class freight. For each Late Delivery where the delay exceeds **forty-eight (48) hours** beyond the Scheduled Delivery Date, Atlas shall pay GlobalTrade a fixed penalty of **\$250 per shipment**. Where the delay exceeds **five (5) Business Days**, the penalty for that shipment increases to **\$400**. Deliveries late by forty-eight (48) hours or less incur no financial penalty but still count against the On-Time Delivery Rate in Section 5.2.

6.2 Quarterly Penalty Cap

Atlas's aggregate penalty liability under this Section 6 is capped at **\$75,000 per calendar quarter**. Penalties accrued beyond the cap in a quarter are extinguished, not carried forward.

6.3 Worked Example

In a given month Atlas delivers 38 shipments late: 22 by less than 48 hours (no penalty), 13 by between 48 hours and five Business Days ($13 \times \$250 = \$3,250$), and 3 by more than five Business Days ($3 \times \$400 = \$1,200$). The penalty payable for the month is **\$4,450**, subject to the quarterly cap.

6.4 Payment of Penalties

Accrued penalties are credited on Atlas's next monthly invoice. Penalties are GlobalTrade's exclusive financial remedy for Late Delivery as such, without prejudice to Section 10(e) and to claims for loss of or damage to the goods.

7. Invoicing & Payment

Atlas shall invoice GlobalTrade monthly in arrears, in US dollars, itemizing each shipment by bill-of-lading number, lane, weight or container count, and applicable accessorial charges. Undisputed invoices are payable **net forty-five (45) days** from the invoice date. GlobalTrade must raise invoice disputes within fifteen (15) calendar days of receipt; the undisputed portion remains payable when due. Late payments accrue interest at **1.0% per month** on overdue undisputed amounts. Fuel surcharges adjust monthly per the index in Schedule C; all other rates are fixed per Section 4. Atlas may suspend acceptance of new tenders if undisputed amounts remain unpaid seventy-five (75) days past due, after ten (10) Business Days' written warning.

8. Liability & Indemnification

Atlas's aggregate liability under this Agreement, whether arising in contract, tort (including negligence), breach of statutory duty, or otherwise, shall not exceed two million US dollars (\$2,000,000) in the aggregate over the term of this Agreement. The foregoing cap does not apply to: (a) liability arising from gross negligence, willful misconduct, or fraud; (b) Atlas's indemnification obligations in respect of third-party claims for bodily injury, death, or damage to tangible property; (c) breaches of confidentiality; or (d) loss of or damage to cargo, which is governed by the Carmack Amendment for US ground carriage, COGSA for ocean legs, or other mandatorily applicable transport law. Flat-fee penalties under Section 6 are GlobalTrade's exclusive financial remedy for Late Delivery as such, but do not limit remedies for chronic failure under Section 10(e) or for loss of or damage to the goods themselves. Neither Party is liable to the other for indirect, consequential, special, or punitive damages, or for loss of profit, revenue, or goodwill, except to the extent such damages fall within the carve-outs above. Atlas shall maintain, at its own cost, commercial general liability insurance of at least \$3,000,000 per occurrence, motor carrier cargo liability of at least \$500,000 per conveyance, and statutory workers' compensation cover, and shall provide certificates of insurance to GlobalTrade upon request and at each renewal.

9. Force Majeure

Neither Party is liable for any failure or delay in performance caused by events beyond its reasonable control, including natural disasters, severe weather, epidemics, war, terrorism, civil unrest, acts of government, embargoes, port or airport closures, customs stoppages not attributable to documentation errors by the affected Party, national or industry-wide strikes (expressly excluding strikes limited to Atlas's own workforce), and widespread failures of public infrastructure, utilities, or telecommunications (each a "Force Majeure Event"). The affected Party must notify the other Party in writing within seven (7) calendar days of becoming aware of a Force Majeure Event, describing the event, the performance affected, and the estimated duration, and must use commercially reasonable efforts to mitigate its impact and resume performance. Service Level measurement under Section 5 is suspended for shipments demonstrably affected by the Force Majeure Event, and no penalties or credits under Section 6 accrue with respect to such shipments. If a Force Majeure Event continues for more than forty-five (45) consecutive days, either Party may terminate this Agreement upon written notice without penalty, and the Shipper shall pay only for services performed and conforming goods delivered up to the effective date of termination.

10. Termination

Either Party may terminate this Agreement: (a) for material breach by the other Party that remains uncured forty-five (45) days after written notice describing the breach in reasonable detail; (b) immediately upon written notice if the other Party becomes insolvent, files or has filed against it a petition in bankruptcy that is not dismissed within sixty (60) days, or makes a general assignment for the benefit of creditors; or (c) as provided in Section 9. GlobalTrade may additionally terminate this Agreement: (d) for convenience on one hundred twenty (120) days' written notice; and (e) for chronic Service Level failure, defined as an On-Time Delivery Rate below 92.5% in any three (3) calendar months within a rolling six (6)-month window, on thirty (30) days' written notice without any further cure period. Upon any termination or expiry, Atlas shall complete all shipments in transit or accepted prior to the effective date of termination in accordance with this Agreement, shall return or destroy all Confidential Information of GlobalTrade, and shall cooperate in good faith in an orderly transition to a successor provider for up to sixty (60) days at the rates then in effect. Termination does not relieve either Party of obligations accrued before the effective date of termination, including penalties and service credits accrued under Section 6.

11. Governing Law & Dispute Resolution

This Agreement is governed by and construed in accordance with the laws of the State of Illinois, USA, without regard to its conflict-of-laws principles. The state and federal courts located in Cook County, Illinois have exclusive jurisdiction over any dispute arising out of or in connection with this Agreement, and each Party irrevocably submits to that jurisdiction. Before initiating any proceeding, the Parties shall escalate the dispute first to their respective account managers and, failing resolution within fifteen (15) Business Days, to a senior executive of each Party; only if the dispute remains unresolved thirty (30) days after escalation to executives may a proceeding be initiated. Nothing in this Section prevents either Party from seeking interim injunctive relief to protect its Confidential Information or intellectual property.

12. Miscellaneous

This Agreement, together with its Schedules and any executed amendments, constitutes the entire agreement between the Parties with respect to its subject matter. Amendments must be in writing and signed by authorized representatives of both Parties. Neither Party may assign this Agreement without the other Party's prior written consent, except to an affiliate or in connection with a merger, acquisition, or sale of substantially all of its assets, with written notice to the other Party. Atlas shall not subcontract more than 30% of monthly linehaul volume to interline partners without GlobalTrade's prior written approval, and remains fully liable for the acts and omissions of any approved subcontractor as if they were its own. All notices must be in writing and delivered to the addresses stated in Section 1 by courier or by email with delivery confirmation. If any provision of this Agreement is held invalid or unenforceable, the remaining provisions remain in full force and effect. No waiver of any provision is effective unless made in writing; the failure of either Party to enforce any provision is not a waiver of its right to do so later.